PRUDENTIAL PLC (PRU.L)

Equity Research Report

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INVESTMENT SUMMARY

Recommendation	STRONG BUY
Target Price	£28.39
Current Price	£11.35
Upside Potential	150.1%

COMPANY OVERVIEW

Prudential plc is a multinational life insurance and financial services company headquartered in London, with significant operations across Asia. Following its demerger from M&G plc in 2019, Prudential has focused exclusively on life insurance and asset management in high-growth Asian markets. The company serves approximately 19 million customers and manages over £200 billion in assets under management.

The Asia-focused strategy positions Prudential to capitalise on demographic trends including rising middle-class wealth, increasing life expectancy, and growing insurance penetration rates across emerging markets.

INVESTMENT THESIS

Based on my discounted cash flow analysis, Prudential appears significantly undervalued. The following factors support a strong buy recommendation:

1. Substantial Valuation Gap

My DCF model calculates an intrinsic value of £28.39 per share, implying 150% upside. Even under conservative assumptions (WACC 11.3%, terminal growth 1.5%), fair value remains at £23.58, still representing 108% upside.

2. Strong Cash Flow Generation

Free cash flow increased from £788 million in 2023 to £4,397 million in 2025. My projections indicate sustained FCF growth at 6.3% CAGR through 2030, reaching approximately £6.2 billion.

3. Operating Margin Expansion

EBIT margins improved from 11.8% in 2023 to 18.7% in 2025. I conservatively assume margins stabilise around 18-19% over the projection period.

4. Conservative Capital Structure

With debt representing only 15.5% of total capital, Prudential maintains one of the strongest balance sheets in the European insurance sector. Total debt of £5.3 billion is comfortably serviced by operating cash flows.

5. Attractive Asia Exposure

Asian markets benefit from structural growth drivers. Insurance penetration rates remain well below developed market averages, and rising incomes drive demand for protection products.

VALUATION METHODOLOGY

I employed a discounted cash flow model, discounting five years of explicit cash flow projections plus a terminal value back to present value.

Key Assumptions:

• Revenue growth declining from 8.0% (2026) to 5.5% (2030)
• EBIT margins maintained at 18-19%
• Capital expenditure of approximately 0.5% of revenue
• Tax rate of 20%
• Terminal growth rate of 2.5%

WACC Calculation (10.3%):

• Cost of Equity: 11.7% (CAPM: risk-free rate 4.5%, beta 1.2, market risk premium 6.0%)
• After-tax Cost of Debt: 2.8% (pre-tax 3.5% with 20% tax shield)
• Capital structure: 84.5% equity, 15.5% debt

DCF Valuation Summary:

• PV of 5-Year Cash Flows: £19,807 million
• PV of Terminal Value: £49,641 million
• Enterprise Value: £69,448 million
• Less: Net Debt: (£5,290) million
• Plus: Cash: £7,708 million
• **Fair Value per Share: £28.39**

FINANCIAL PROJECTIONS

£ millions	2025A	2026E	2027E	2028E	2029E	2030E
Revenue	27,393	29,584	31,803	33,870	35,902	37,877
EBIT	5,124	5,325	5,724	6,266	6,642	7,197
Free Cash Flow	4,397	4,558	4,910	5,374	5,706	6,179

SENSITIVITY ANALYSIS

To test the robustness of my valuation, I conducted sensitivity analysis across different WACC and terminal growth rate assumptions. Results indicate that fair value ranges from £23.58 (most conservative scenario) to £36.70 (most optimistic scenario).

Even at the lower bound, this represents meaningful upside of 108% from current levels, suggesting the investment case remains attractive across a wide range of reasonable assumptions.

KEY RISKS

Regulatory Risk

As an insurance operator across multiple Asian jurisdictions, Prudential faces complex regulatory requirements. Changes to capital adequacy standards or product regulations could impact profitability.

Geographic Concentration

Strategic focus on Asia creates concentration risk. Economic slowdowns or political instability in key markets could materially impact results. Currency fluctuations introduce additional volatility.

Market Risk

As a life insurer with substantial investment portfolios, results are sensitive to equity market performance and interest rate movements.

Execution Risk

Achieving projected growth depends on successful execution of distribution strategies, product innovation, and digital transformation initiatives.

CONCLUSION

Prudential plc presents a compelling investment opportunity. The combination of strong cash flow generation, improving operating margins, conservative balance sheet, and exposure to structurally attractive Asian insurance markets supports my target price of £28.39 per share.

The significant discount between my calculated intrinsic value and current market price suggests the market is undervaluing the company's growth prospects. My sensitivity analysis demonstrates that even under conservative assumptions, meaningful upside exists.

I recommend a Strong Buy with a £28.39 target price.

DISCLAIMER

This equity research note was prepared for educational purposes as part of an academic portfolio project. It should not be construed as investment advice. The analysis reflects my views based on publicly available information and does not represent the views of any financial institution.